

effort for every \$5. However, a debit card just makes the process of withdrawing small amounts so easy that I could see people spending their entire 401(k)s without even feeling it.

2. Credit cards that charge maintenance fees

There is absolutely no need to get a credit card with a maintenance fee these days. When credit cards were a new product most of them had maintenance fees, but now very few charge them. I am surprised that companies still issue ridiculously bad cards. I once even saw a credit card that charges a \$150 yearly fee plus a \$6.95 monthly fee!

3. Store-specific credit cards

Store-specific credit cards are those that can be used only at the store where you signed up. Do not be enticed to sign up for these cards even if the store gives you 30% off everything you buy on the day you sign up. The reason is that they generally have very high interest rates and could lower your credit score.

These are different from a co-branded credit card that can be used anywhere. An example of a co-branded credit card is the Costco Visa card, which can be used outside of said box

store. Co-branded cards generally have better rates and better internal controls than store-specific cards.

4. Payment protection insurance

These are insurance policies marketed by credit card companies or mortgage companies that insure you against debt payments if you become ill or lose your job. It sounds good, right? The truth is that they are usually quite overpriced, and the policies have so many exclusions that very few benefit. You are probably better off taking the money you would have paid for this insurance and saved it in an emergency fund. These insurance policies were investigated by the UK government, and the consensus is that these products are highly lucrative for the lenders and rarely benefit the consumer.

5. Payday loans

These are loans given for the amount of your future paychecks, and they carry ridiculously high interest rates disguised as a fixed cost. If you calculate the interest rate, it is often hundreds to thousands of percentage points. I think if you really need the money, a low-interest credit card is usually better than these loans because you can pay a